

dollar the kids would ever need.” They assume that the recipients of their kindness will be able to “do it on their own” in the near future. Nearly half the time, they are wrong.

Gift receivers frequently are underachievers in generating income. All too often the income of the gift receiver does not increase at the same rate as his consumption. Remember, expensive homes are typically located in what we call high-consumption neighborhoods. Living in such neighborhoods requires more than just being able to pay the mortgage. To fit in, one needs to “look the part” in terms of one’s clothing, landscaping, home maintenance, automobiles, furnishings, and so on. And don’t forget to add high property taxes to all the other items.

Thus, a gift of a down payment, whether full or partial, can place a recipient on a treadmill of consumption and continued dependence on the gift giver. But the majority of these recipients’ neighbors, more likely than not, receive no cash gifts from their parents. They are much more content and confident about their lifestyle than most gift receivers are. Many gift receivers in such situations become sensitive to the need for continued economic outpatient care. Their orientation may even dramatically change from a focus on self-generated economic achievement to one of hoping for and contemplating the arrival of additional gifts. Underachieving income producers in such cases find it nearly impossible to accumulate wealth.

Gifts of down payments are not the only type that precipitate more consumption. Take, for example, the affluent parents who gave their son Bill and daughter-in-law Helen a \$9,000 rug that we were told contained millions of hand-tied knots. Bill is a civil engineer who works for the state. He earns less than \$55,000 a year. His parents feel compelled to help him maintain a lifestyle and level of dignity congruent with someone with a graduate degree from a prestigious university. Of course, the expensive rug looked out of place in a room filled with hand-me-down furniture and inexpensive light fixtures. So Bill and Helen felt compelled to purchase expensive walnut dining room furniture, a crystal chandelier, a solid-silver service, and expensive lamps. Thus, the gift of the \$9,000 rug precipitated the consumption of nearly that same amount for other “affluent artifacts.”

Sometime later, Bill mentioned to his mother that the local public schools were not as good as they were when he was an elementary school student. His mother countered that she would pay for part of her grandson’s and granddaughter’s private school tuition. Of course, it was up to Bill and Helen to decide if they should take their children out of the